

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents and Third-Party Complainants,

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,

Third-Party Respondent.

**THIRD-PARTY RESPONDENT'S APPEAL OF THE ORDER DENYING ITS
PETITION FOR AN AWARD OF ATTORNEYS' FEES**

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Third-Party Respondent Samsung Electronics Co., Ltd. sued here as Samsung Electronics Company, Ltd. (“Third-Party Respondent” or “SEC”), by its undersigned counsel, pursuant to 46 C.F.R. §§ 502.254(h) and 502.227(a), hereby respectfully submits its limited appeal of the Order of Administrative Law Judge (“ALJ”) Richard Ambrow dated March 20, 2026 (Doc. No. 126)(the “Order”), which denied SEC’s Petition for Attorneys’ Fees (Doc No. 106)(the “Petition”) against Third-Party Complainants Orient Overseas Container Line Limited, and OOCL (Europe) Limited (collectively, “Third-Party Complainants” or “OOCL”).

INTRODUCTION

This dispute began when SEC’s U.S.-based corporate entity, Samsung Electronics America, Inc. (“SEA”) filed for reparations against OOCL in connection with its violations of the Shipping Act. OOCL, not content to simply defend itself, filed not only a counterclaim against the Verified Complaint filed by SEA, but also dragged SEC into the litigation before the Federal Maritime Commission (“FMC” or the “Commission”) by way of a Third-Party complaint. Despite a complete lack of legal and factual support, and despite dismissal of the original counterclaim, OOCL ignored the warnings of the ALJ and the Commission that its allegations appeared to be baseless and persisted in its attempts to retaliate against SEA (and SEC) by filing a substantially identical “amended” counterclaim and third-party complaint all of which the ALJ found to be “objectively frivolous”. OOCL has abused the FMC dispute resolution process and should now be held to account for its abuse of FMC proceedings through payment of attorneys’ fees for the wrongful allegations. SEC requests that the Commission award its attorneys’ fees as set forth in the Petition.

Following the dismissal of OOCL's Amended Counterclaim ("AMCC") against SEA and OOCL's Amended Third-Party Complaint ("ATPC") against SEC, both SEC and SEA filed petitions for attorneys' fees. The ALJ found that both SEC and SEA were prevailing parties and thus eligible for attorney's fees. With regard to entitlement, however, the ALJ hesitated – holding that:

Because the counterclaim and third-party complaint were unsupported by any legal authority, and lacked factual support, I would be inclined to find that its allegations were frivolous or objectively unreasonable but for the fact that the Commission stated that OOCL was 'entitled' to file an amended complaint ... because the Commission concluded that an amended counterclaim (and, by extension, an amended third-party complaint) would not necessarily be futile, I cannot find that OOCL's counterclaim or OOCL's third-party complaint were frivolous, baseless, or objectively unreasonable.

Along the same lines, I would be inclined to find improper motivation for the counterclaim and third-party complaint but for the Commission's remand. ...

Order at 13.

Notwithstanding his conclusion that that OOCL's counterclaims and third-party complaints were "unsupported and lacked any legal authority" he hesitated to find that either SEC or SEA was entitled to recover their respective attorneys' fees incurred in responding to those frivolous and objectively unreasonable counterclaims and third-party complaints, solely because the Commission had given OOCL the opportunity to amend in the Commission's decision affirming the dismissal of OOCL's original counterclaim against SEA. (Doc. No. 66, July 30, 2025).

SEC respectfully submits that the ALJ was overcautious because of the inferences assumed by the Commission's earlier decision to allow OOCL leave to amend its pleadings. The granting of attorneys' fees should be based on the ultimate outcome of the matter, not interim relief. The Commission can now allay the ALJ's concerns by affirming SEC's and SEA's petitions and clearly

stating that when a party is given an opportunity to amend its pleadings, it must not squander that opportunity as OOCL did; rather, it must exercise its second chance with consideration and responsibility. If a party, such as OOCL, fails to do so it must face the consequences of wasting the resources of the ALJ, the Commission, and parties which have been impacted thereby, such as SEC. Given this situation, SEC submits that the Commission should issue a robust order to discourage such conduct.

Following the Congressional amendment of the attorney fee statute in 2014, and the corresponding Commission's amendment of its regulations¹, the Commission issued its *Statement of the Commission On Attorney Fees*, Dkt. 21-14, 3 F.M.C.2d 195, 2021 WL 9204127 (FMC, Dec. 28, 2021)(the "Statement") to make clear the Commission's position on attorney fees. More recently, the Commission in its decision in *Bakerly, LLC v. SeaFrigo USA Inc.*, Dkt. No. 22-17, 2026 WL 254020, at *1 (FMC, Jan. 22, 2026)), provided further context to the Statement and the policy articulated therein.

The statute, regulation, guidance, and precedent all establish that fee awards are permitted precisely to address situations such as this one. As detailed more fully in the Order, OOCL filed a Third-Party Complaint without factual or legal support against SEC for no apparent purpose other than to disrupt and delay OOCL's underlying dispute with SEA, as evidenced by OOCL's refusal to properly serve SEC until it was ordered to do so in response to SEC's Motion to Dismiss for the Insufficiency of the Service of Process.² Subsequently, following the dismissal with prejudice

¹ Howard Coble Coast Guard and Marine Transportation Act of 2014, Pub. L. No. 113-281, §402, 128 Stat. 3022, 3056; 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254.

² While SEC's Motion was ultimately denied, OOCL's Motion to Permit Alternative Service was also denied and the ALJ determined that proper service on SEC in Korea (as asserted by SEC) could only be done in accordance with The Convention of the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (the "Hague Convention").

of OOCL's Counterclaim against SEA – which the original Third-Party Complaint essentially tracked – and the Commission's skeptical granting of leave to amend, OOCL filed its Amended Third-Party Complaint that was substantively the same and equally unsupported in law or fact as the original, and which was subsequently dismissed along with the amended counterclaim for the same reasons as the original counterclaim.

The Commission's courteous procedural accommodation in granting leave to amend, itself based on representations found to be unsupported, cannot immunize OOCL from fee liability otherwise plainly merited by the frivolous pleadings, improper motivation, objective unreasonableness, and litigation misconduct. Nor can SEC's cooperation in not opposing OOCL's Motion to Amend³ serve to excuse OOCL's dilatory and repetitively frivolous pleadings. Every adjudicator who has reviewed OOCL's Counterclaim, Amended Counterclaim, or Amended Third-Party Complaint has found the pleadings to be meritless and legally untenable.

Accordingly, the Commission should amend the Order to (1) clarify that the Commission's granting of leave to OOCL to amend its original counterclaim does not immunize OOCL from liability for attorneys' fees or render OOCL's Amended Third-Party Complaint non-frivolous; and (2) award SEC the fees it was forced to expend as a direct consequence of OOCL's improper litigation tactics.

³ Unopposed Motion for Leave to file Amended Third-Party Complaint and Suspend Time to Respond to Third-Party Respondent's Motion to Dismiss (Doc. No. 78) which was granted (Doc. 79).

PROCEDURAL BACKGROUND

The tortured procedural history of this matter bears out the reasonableness of the Petition.⁴

SEA filed a Verified Amended Complaint (“VAC”) against OOCL on December 2, 2024, alleging violations of the Shipping Act of 1984 (Doc. No. 17). OOCL answered on December 12, 2024, and asserted a Counterclaim alleging a violation of 46 U.S.C. § 41102(a) (Doc. No. 19). On that same day, OOCL filed its Third-Party Complaint (“TPC”) against SEC also alleging a violation of 46 U.S.C. § 41102(a) (Doc. No. 20).

On January 9, 2025, SEC filed a Notice of Special Appearance (Doc. No. 25) and, on January 29, 2025, filed its Motion to Dismiss based on OOCL’s failure to comply with the requirements of the Hague Convention (Doc. No. 32). OOCL later filed its Motion for Alternative Service (Doc. No. 56). Following further briefing, on July 10, 2025, the Presiding Officer found that SEC had not been properly served; dismissed the pending motions and ordered that OOCL could have a reasonable amount of time to serve SEC properly (Doc. No. 65). Service in accordance with the Hague Convention was accomplished on August 13th and proof of service was filed on September 18, 2025 (Doc. No. 77).

SEC timely filed its Motion to Dismiss the Third-Party Complaint for Failure to State a Cause of Action upon which Relief may be Granted on September 8, 2025 (Doc. No. 73) *after* the Commission’s decision of July 30. Before SEC’s dismissal motion could be heard, on September 18, 2025, OOCL filed its Unopposed Motion for Leave to File an Amended Third-Party Complaint

⁴ The full details of the multiple pleadings, status conferences and orders spawned by OOCL’s improper service, the Counterclaim and Amended Counterclaim, the TPC and ATPC are set forth in the Declaration of James H. Hohenstein, dated January 26, 2026 (“Hohenstein Decl.”) submitted with the Petition (Doc. No. 106).

and for the Suspension of Time to Oppose SEC's Motion to Dismiss (Doc. No. 78). SEC did not oppose the motion as it would promote judicial efficiency (i.e., fewer pleadings that the ALJ would have to consider). OOCL's motion was granted on September 22, 2025 (Doc. No. 79). OOCL submitted its ATPC (Doc. No. 85) which was essentially the same as its original. SEC moved to dismiss the ATPC; the Motion was granted on November 26, 2025, and leave to further amend was denied (Doc. No. 98). OOCL did not file an appeal; the Commission declined to review, and the decision became final as reported on December 29, 2025 (Doc. No. 101).

On January 26, 2026, SEC filed its Petition for Attorneys' Fees, seeking \$155,185.00 in fees incurred in contesting OOCL's improper service and in defending against OOCL's Third-Party Complaint and its Amended Third-Party Complaint. (Doc. No. 106).⁵ On March 20, 2026, the ALJ issued the Order, denying SEC's Petition for Attorney Fees, denying SEA's Petition for Attorney Fees, and denying SEA's Motion to Supplement as moot. (Doc. No. 126 at 1-2, 15).

The Order found SEC and SEA to be prevailing parties eligible for a fee award under 46 U.S.C. § 41305(e). Regarding their entitlement to attorney fees, the Presiding Officer acknowledged that none of the counterclaims and third-party complaints had any legal basis nor factual support. He further stated that he was inclined to find that OOCL's allegations were frivolous or objectively unreasonable *but for* the fact that the Commission had given OOCL a chance to amend. Similarly, he stated that he was inclined to find improper motivations for OOCL's counterclaim and third-party complaint *but for* the Commission's remand. Notwithstanding his own findings, which are further detailed below, he denied fees – solely because the Commission's July 30, 2025, remand had allowed OOCL leave to file its AMCC.

⁵ On the same day, SEA filed its Petition for Attorney Fees (Doc. No. 108) and a subsequent Motion to Supplement on March 2, 2026 (Doc. No. 122).

SEC appeals against the Order on the limited grounds as set forth below.

LEGAL STANDARD

46 C.F.R. § 502.254 states that the appeal of the decision concerning a petition for an award of attorney fees is governed by the procedures in 46 C.F.R § 502.227. 46 C.F.R § 502.227(a)(6) states that the Commission has the same powers that it would have in making the initial decision. Therefore, the standard of review by which the Commission now reviews the Order is *de novo*.⁶

46 U.S.C. § 41305(e) of the Shipping Act states that “In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.” (46 U.S.C. § 41305(e)). A party must be both *eligible* and *entitled* to be awarded attorney’s fees. (*Bakerly*, 2026 WL 254020, at *1). To be eligible, a party must be a “prevailing party.” (*Id.*, at *4). To be a “prevailing party,” the Commission looks for a “material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.” (Statement, 3 F.M.C.2d at 196, 2021 WL 9204127, at *2)(internal citations omitted).

In determining whether a party is *entitled* to attorney’s fees, the Commission considers five factors: 1) if there was a legal and factual basis for the claims, 2) if the filing was motivated by an improper purpose; 3) if the non-prevailing party engaged in litigation misconduct; 4) if the fees are appropriate to deter future baseless filings; and 5) in appropriate cases, if the fee is necessary to make the petitioning party whole. (*Bakerly*, 2026 WL 254020, at *5). Each of these factors compel a robust award in favor of SEC.

⁶ SEC submits that although the standard of review here is *de novo*, the ALJ’s determinations should not be disregarded, as he was “in the best position to make those determinations.” *Westmoreland v. CBS, Inc.*, 770 F. 2d 1168, 1174 (D.C. Cir. 1985).

ARGUMENT

A. The Order found SEC eligible for attorney fees.

In the Order, the ALJ found that SEC was eligible for attorney fees, finding that SEC was a “prevailing party.” While the question of “prevailing party” as to the Motion to Dismiss for Improper Service was considered a “red herring” and not specifically decided, the ALJ found that “although SEC advanced multiple theories for how it should prevail...SEC ultimately prevailed, even though not every argument was successful. Therefore, SEC is a ‘prevailing party’...and eligible for an award of attorney’s fees.” (Order, Doc. 126, at 9, citing *Hensley v. Eckerhart*, 461 U.S. 424, 433 (1983)).

B. The Order would find SEC entitled to attorney fees, but for the Commission’s grant of leave to amend.

With respect to the first and second analysis factors for entitlement to attorney fees, (1) a colorable factual and legal basis for the claim and (2) whether the filing motivated by an improper purpose – the Order found that none of OOCL’s complaints – not the Counterclaim, nor the Amended Counterclaim nor the Amended Third-Complaint – had any legal basis or factual support, in essence finding that the OOCL pleadings were infirm in the strongest possible terms. Nonetheless, upon appeal from the first dismissal of OOCL’s Counterclaim, the Commission affirmed the dismissal of OOCL’s Counterclaim and remanded the matter to allow OOCL to have one more chance to allege a plausible claim. It is this remand that gave the ALJ pause.

In his Conclusion, the ALJ states, “I find that OOCL’s counterclaim and OOCL’s third-party complaint would be **objectively frivolous**, and would appear to be a procedural delay tactic, but for the fact that the Commission concluded that it would not be futile to allow OOCL to amend

its counterclaim (and, by logical extension, its third-party complaint).” Order at 15 (emphasis added). ALJ Ambrow supported his concluding remarks with the following observations:

- “There is no question that OOCL’s allegation that SEA and SEC violated section 41102(a) was **weak**.”

- “Thus, **there was no legal basis** for OOCL’s counterclaim or OOCL’s third-party complaint.”

- “OOCL appears to argue that because a large company raised a facially-valid dispute, the large company must have harbored a secret plan all along. **At best, that is a weak factual basis** for OOCL’s claim.”

- “Because the counterclaim and third-party complaint **were unsupported by any legal authority, and lacked factual support, I would be inclined to find that its allegations were frivolous or objectively unreasonable** but for the fact that the Commission stated that OOCL was ‘entitled’ to file an amended complaint, and that it should be given at least one chance to amend. The Commission also stated that it was not clear that an amended counterclaim (and, by the same logic, an amended third-party complaint) would necessarily be futile.” Order at 12-13 (emphasis added).

Similarly, ALJ Ambrow addressed the factor of improper motivation:

- “Along the same lines, **I would be inclined to find improper motivation for the counterclaim and third-party complaint** but for the Commission’s remand.”

- “**In light of the weakness of OOCL’s allegations in OOCL’s counterclaim and OOCL’s third-party complaint, even after they were amended, and in light of the fact that two ALJs and the Commission all expressed a dim view of OOCL’s section 41102(a) claims, one could fairly wonder if the only reason OOCL was pursuing its 41102(a) claims was to delay SEA’s claim from advancing procedurally.** Indeed, in my November 26 Order, I questioned whether OOCL had a dilatory motive when OOCL argued that I should allow its AMCC and ATPC to go forward because OOCL suggested that it would continue to appeal and cause further delays to this proceeding.”

- “As discussed above, **I would be inclined to agree that OOCL pursued a meritless counterclaim and third-party complaint** but for the fact that the Commission permitted OOCL to amend its counterclaim (and, by logical extension, the substantially similar third party complaint).” *Id.* at 13 (emphasis added).

In total, the ALJ made at least eight separate statements ranging from “objectively frivolous” to “meritless counterclaim” to describe the OOCL counterclaim and third-party

complaint, even after amendment. He nonetheless denied fees – solely because the Commission’s July 30, 2025 remand order allowed OOCL leave to file its AMCC. (Order at 13-15).

Yet the ALJ’s Order reflects the strongest possible findings by a decider of fact on the trial court level in assessing pleadings and litigation comportment. The first two factors weigh heavily in favor of SEC, and for good reason. By way of the counterclaim, the amended counterclaim, the third-party complaint and the amended third-party complaint – in all of OOCL’s attempts to assert claims against SEA and SEC the factual basis was clearly and unequivocally lacking. This left but one conclusion: OOCL was not seeking to defend itself against SEA’s verified amended complaint. Rather, OOCL wanted to send a message to SEA that it would do anything it could to cause SEA to expend further time, money and effort, including dragging in SEA’s (hitherto uninvolved) corporate family of companies, with the intention of frustrating the litigation before the FMC, and discouraging any future actions. This conduct should not be countenanced, and the only way to address this wrongful conduct is by issuing a robust finding of these two factors decidedly in favor of SEC.

As for the third factor – litigation misconduct – SEC submits that the ALJ’s conclusion that OOCL failed to allege a plausible violation of section 41102(a) is particularly true with regard to the Third-Party Complaint and the Amended Third-Party Complaint by which OOCL dragged SEC into this dispute alleging only that SEC “controlled” SEA and “conspired” with SEA to violate the Shipping Act.

“Along the same lines, I would be inclined to find improper motivation for the counterclaim and third-party complaint but for the Commission’s remand. A party is improperly motivated where it asserts a claim, knowingly gambling on an unreasonable legal theory in order to achieve a secondary gain...One could fairly wonder if the only reason OOCL was pursuing its 4110(a) claims was to delay SEA’s claim from advancing procedurally.” (Order at 13, internal citations omitted.)

SEC submits that the claims asserted by OOCL of conspiracy and control were so completely unsupported by factual allegations as to be patently unreasonable. The ONLY reason SEC was dragged into this dispute was to add further unwarranted delay and expense. OOCL's tactics of delay were on display from the beginning when it refused to follow the Hague Convention procedures on service. It took nearly *eight months* from the date of filing the Third-Party Complaint – December 17, 2024 – to the date service was finally completed – August 13, 2025. Following the proper procedures in the beginning would have taken only about one month and would have saved the costs and time of the intervening motion practice to force OOCL to comply with the Hague Convention. While the ALJ did not find litigation misconduct on the part of OOCL in this regard, SEC submits that such unwarranted delay was part and parcel of OOCL's litigation strategy to disrupt SEA's case against it by filing meritless counterclaims and third-party complaints.

C. Granting Leave to Amend its Counterclaim does not render OOCL's Third-Party Complaint or its Amended Third-Party Complaint non-frivolous, nor its conduct less improper.

The Commission's July 30 Order does not immunize OOCL against a finding of frivolousness for OOCL's multiple objectively unreasonable filings.

The Commission's July 30 Order affirmed the dismissal of OOCL's counterclaim against SEA, and clearly expressed skepticism that OOCL's stated theory, both as pled and as argued in its pleadings and appeal, could state a plausible claim. The Commission granted leave to amend pursuant to the well-established federal principle that leave to amend should be freely given when justice requires, and based on OOCL's representation that it had related allegations that it had not included in its original Counterclaim, while cautioning that "it is not evident that the additional

conduct OOCL has described would present a plausible claim under section 41102(a).” (Doc. No. 66 at 20-21).

While the Third-Party Complaint was not before the Commission, it closely tracked the Counterclaim. When OOCL was given leave to amend its Counterclaim, it also requested that SEC agree to the filing of an Amended Third-Party Complaint, which SEC did as it was the most efficient way in which to address the procedural posture of the case. Given that the Amended Third-Party Complaint still tracked the Amended Counterclaim, it is clear that OOCL considered the leave to amend to apply to both SEC and SEA. And yet, OOCL did *nothing* to amend its pleadings to present a plausible claim against either SEC or SEA.

There is nothing in the regulations or the Statement which appears to suggest that allowing a party leave to amend a pleading immunizes such a party against the imposition of attorneys’ fees, or renders the opposing party ineligible or not entitled to receive attorney fees.

Rather, the Commission has previously found that parties that have failed to substantiate the legal and factual components of their case, bring unsupported claims as a litigation strategy, knowingly disregard Presiding Officer orders, abandon their claims, force multiple respondents to expend significant resources of both time and money in their defense, and fail to terminate their claims when it could have limited the expense of the respondents despite ample opportunity to withdraw its claim, are in fact the most prime candidates against whom attorney fee awards should be imposed.⁷ The position of the Commission is consistent with practice of the federal district

⁷ Statement, *supra*; *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC et. al.* Dkt. No. 14-04, 2016 WL 5110081, at *5 (FMC, Sept. 14, 2016); *Bakerly*, 2026 WL 254020, at *6 (“If a complainant’s claims were frivolous, had no plausible legal or factual basis, or were not supported colorable arguments, that weighs in favor of awarding legal fees to the respondent...Filing claims for improper reasons also weighs in favor of granting the fee petition... ‘Knowingly gambling’ on implausible claims to gain some advantage over the opposing party is another example.”)

courts, which have routinely imposed sanctions in similar cases. As the Court noted in *Grynberg v. Ivanhoe Energy, Inc.*, 663 F. Supp 2d 1022,1026 (D. Colo. 2009) stated: “filing of the Amended [pleading] does not cure their violation of Rule 11.”⁸

Permitting a routine procedural safeguard to be used as a shield against otherwise well-justified fee liability would undermine the deterrent purposes of fee awards and would open the floodgates for larger entities to file baseless counterclaims against complainants who bring valid and supportable claims in good-faith before the Commission, let alone filing third-party complaints against parties, such as SEC, which were otherwise not involved in the proceeding.

D. An award of fees is appropriate to deter OOCL’s litigation abuse.

The ALJ concluded that SEC had not argued that OOCL had filed baseless claims in the past or was likely to do so in the future. SEC respectfully submits that this is not exactly so. SEC noted in its fee petition that OOCL’s Third-Party Complaint had already been flagged by the ALJ as baseless when, in his Order of June 11, 2025, he noted its deficiencies and ordered OOCL to file a Supplemental Brief “explaining why its Third-Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted.” (Doc. No. 49 at 4.) Moreover, as SEC stated in its petition, OOCL had numerous opportunities to try and develop non-frivolous allegations: the Counterclaim, the Amended Counterclaim, the Third-Party Complaint and the Amended Third-Party Complaint, not to mention the associated motion practice. That all its efforts came to naught is simply a further affirmation of the baseless nature of the allegations *ab initio*.

⁸ See also *Royce v. Needle, P.C.*, 158 F. Supp. 3d 708, 716, 723-24 (N.D. Ill. 2016), *opinion amended and supplemented sub nom. Royce v. Needle*, No. 15 C 259, 2016 WL 398182 (N.D. Ill. Feb. 2, 2016)(amended counterclaim was equally unsupported and deficient; Rule 11 sanctions awarded); *Chris v. Todd, Inc., v. Arkansas Dep’t of Fin. & Admin.*, 125 F.R.D. 491, 495 (E.D. Ark. 1989) (second amended complaint presented same allegations as had been previously rejected; court awarded sanctions under Rule 11).

A fee award would discourage OOCL from abusing the Commission's forum and dragging unrelated parties not subject to the Commission's jurisdiction, such as SEC, into FMC proceedings.

In addition, the ALJ flagged OOCL's expressly-stated intent to continue appealing and causing delay as raising a potential dilatory motive, and separately noted concerns about OOCL's misrepresentations of the completeness of its discovery production. (Order at 13). A party that pursues a third-party claim found legally deficient at every level of review, and signals an intent to prolong proceedings, presents precisely the type of litigation conduct for which deterrence is an appropriate consideration.

E. SEC should be made whole.

As a result of OOCL's baseless, frivolous and unreasonable claims and its unwarranted refusal to follow proper service, SEC has been forced to expend significant time and effort to defend itself in a matter to which it was never a genuine party, in a regulatory oversight forum to which it is not subject, nor from which it has sought any relief. Leaving SEC to absorb those costs would undermine the Commission's repeated assurances that while parties may litigate meritorious claims and defenses, the Commission will act to discourage the type of abusive or objectively unreasonable pleading as occurred here. While SEC cannot truly be "made whole" for the time and effort involved by numerous persons – not just counsel – it should recover the counsel fees incurred in defending against OOCL's objectively unreasonable conduct in this matter. Granting fees to SEC appropriately balances compensation and deterrence without chilling legitimate Shipping Act litigation.

CONCLUSION

Awarding fees in this instance advances the Shipping Act's purpose of promoting a fair forum for resolving disputes by punishing the filing of legally and factually deficient claims as leverage and delay over an opposing party or, in this matter, a third party not otherwise involved in the proceeding. Failing to award fees would invite other respondents facing claims to try similar tactics on the belief that such behavior would be tolerated and immunized by the Commission.

For the foregoing reasons, SEC respectfully requests that the Commission:

1. Amend the Order and find that SEC is entitled to an award of reasonable attorneys' fees in connection with OOCL's refusal to properly serve SEC, and in connection with OOCL's Third-Party Complaint and OOCL's Amended Third-Party Complaint.
2. Award SEC reasonable attorneys' fees in the amount \$155,185.00: and,
3. Grant such other and further relief as the Commission deems just and proper.

Dated: April 13, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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